

LESSON 3

PRICING EXAMPLE IN THE TRINOMIAL MODEL

Derivative Pricing - Module 3



Outline

- ▶ Walkthrough of a full pricing example in the trinomial model with Python.

⇒ **Please go to the Jupyter Notebook.**

Wrap-up of Lesson 3

In Lesson 3, we have:

- Understood pricing in the trinomial tree framework using Python.

⇒ **TO DO NEXT:** Play around with the provided code and try pricing a couple different options.

⇒ In the next lesson, we will develop a more efficient code for this task, making use of object-oriented programming.